Standard Operating Procedure (SOP) for Bank Account Management

Slice Small Finance Bank

August 17, 2025

Contents

1 Introduction

This Standard Operating Procedure (SOP) document provides detailed instructions for bank employees, particularly new hires and customer service teams, on how to effectively manage customer bank accounts. It ensures compliance with regulatory requirements laid down by the Reserve Bank of India (RBI) and the Digital Personal Data Protection (DPDP) Act, while maintaining high standards of customer service.

The objectives of this SOP are:

- To establish a standardized process for account handling.
- To ensure adherence to regulatory compliance and data protection.
- To provide a step-by-step guide for customer-facing employees.
- To reduce errors, improve efficiency, and enhance customer satisfaction.

1.1 Scope

This SOP applies to:

- All new hires within the bank's retail and customer support divisions.
- Customer service teams handling day-to-day account operations.
- Internal teams ensuring compliance with RBI guidelines and the DPDP Act.

The scope covers processes including:

1. Account opening procedures.
2. Customer verification (KYC).
3. Handling of deposits, withdrawals, and account servicing.
4. Closing or modifying accounts.

1.2 Regulatory Compliance

All employees must strictly adhere to:

- Reserve Bank of India (RBI) regulations for account opening and servicing.
- The Digital Personal Data Protection (DPDP) Act for secure handling of personal information.
- Internal bank policies regarding fraud prevention and reporting.

Regulatory Requirement	**Compliance Action**
RBI KYC Norms	Mandatory verification of identity and address proof for all new accounts.
DPDP Act 2023	Secure collection, storage, and limited sharing of personal customer data.

AML Guidelines	Monitoring of high-value and suspicious transactions, reporting to FIU-IND.

1.3 Roles and Responsibilities

- **Customer Service Representatives (CSRs):** Guide customers through account opening, modification, and closure requests.
- **Operations Staff:** Ensure documents are validated and stored securely.
- **Compliance Officers:** Monitor adherence to regulatory and internal guidelines.
- **Branch Managers:** Supervise processes and authorize exceptional cases.

2 Account Opening Procedures

Account opening is one of the most critical processes in retail banking, as it establishes the customer's formal relationship with the bank. Employees must ensure accuracy, regulatory compliance, and customer satisfaction at every stage.

2.1 Step 1: Customer Interaction and Information Gathering

- Greet the customer and understand the type of account required (Savings, Current, Salary, NRI, etc.).
- Provide the customer with an Account Opening Form (AOF).
- Explain the required documents clearly to the customer.

Account Type	**Documents Required**
Savings Account	Proof of Identity (Aadhaar, PAN, Passport), Proof of Address, Passport-sized photographs.
Current Account	Business registration documents, PAN, GST certificate, Authorized Signatories' KYC.
NRI Account	Passport, Visa, Overseas address proof, Foreign bank reference.
Salary Account	Employer's introduction letter, Employee ID, PAN, Aadhaar.

2.2 Step 2: Know Your Customer (KYC) Verification

- Ensure the provided documents are valid and not expired.
- Verify identity through Aadhaar/PAN linkage.
- Cross-check details with internal systems and RBI guidelines.

2.3 Step 3: Data Entry and Form Completion

- Enter customer details into the Core Banking System (CBS).
- Validate that fields such as name, date of birth, and identification numbers match supporting documents.
- Generate a unique Customer Information File (CIF) number.

2.4 Step 4: Account Approval and Activation

- Submit completed forms and documents to the Branch Manager/Operations Team.
- Obtain approval after compliance check.
- Provide the customer with account details, welcome kit, and initial cheque book/debit card (if applicable).

Activity	**Responsible Party**
Document collection	Customer Service Representative
KYC verification	Operations Staff
Approval	Branch Manager / Compliance Officer
Account activation	Operations Team

2.5 Step 5: Customer Communication

- Ensure the customer receives SMS/email confirmation of account opening.
- Explain digital banking features (mobile app, net banking, UPI).
- Provide guidelines for maintaining minimum balance and account usage.

3 Account Maintenance Procedures

Account maintenance ensures that customer records remain up-to-date, compliant with regulatory guidelines, and aligned with the bank's operational standards. This section provides detailed procedures for updating, modifying, or correcting customer account details.

3.1 Change of Customer Details

Customers may request changes in their personal or contact details. All changes must be supported with valid documents.

Detail to be Updated	**Documents Required**
Change in Address	Valid proof of new address (Aadhaar, utility bill, rental agreement)
Change in Mobile Number	Written request signed by customer, updated KYC if required
Change in Email ID	Written request signed by customer
Change in Name (minor corrections)	PAN card / Aadhaar reflecting corrected name
Change in Name (legal)	Gazette notification, marriage certificate, or court order

Table 4: Customer Detail Update Requirements

3.2 Change of Nominee

The account holder can add, modify, or cancel a nominee. The procedure must follow RBI and bank policy.

- Obtain **DA1 form** (Addition of Nominee).
- For modification, obtain **DA2 form**.
- For cancellation, obtain **DA3 form**.
- Verify identity and obtain specimen signature.
- Update records in the core banking system.

3.3 Dormant Account Activation

Accounts with no customer-initiated transactions for a specified period (generally 2 years) are marked dormant.

1. Customer submits a request for activation.
2. Identity verification through KYC documents.
3. Record a debit/credit transaction (non-system generated).
4. Update system status to “Active”.

3.4 Correction of Errors

Clerical errors must be corrected with due authorization.

Error Type	Corrective Action
Spelling mistake in name	Verify original documents, update in system with branch manager approval
Incorrect date of birth	Obtain documentary proof (Aadhaar, birth certificate) and update records
Mis-linked account number	Escalate to operations team, initiate correction workflow

Table 5: Error Correction Procedures

3.5 Customer Requests Handling

All requests should be acknowledged with a reference number and logged in the service request system.

- Provide estimated timeline for resolution.
- Escalate unresolved requests beyond prescribed timelines.
- Maintain proper audit trail.

4 Customer Onboarding Process

Customer onboarding is a critical step in banking operations. It ensures that new customers are properly identified, verified, and provided with the necessary banking services in compliance with the Reserve Bank of India (RBI) regulations and the Digital Personal Data Protection (DPDP) Act. A streamlined onboarding process improves customer experience while maintaining security and compliance.

4.1 Objectives of Customer Onboarding

- Ensure compliance with RBI Know Your Customer (KYC) norms.
- Prevent money laundering and fraudulent activities by adhering to AML (Anti-Money Laundering) guidelines.
- Collect accurate and verifiable customer data as per DPDP Act requirements.
- Provide customers with clear, accessible information about available products and services.
- Establish long-term relationships with customers through transparency and trust.

4.2 Step-by-Step Customer Onboarding Procedure

1. **Initial Customer Interaction:**
    - Greet the customer and explain the account opening process.

- Provide an overview of account types (Savings, Current, Salary, etc.).
- Hand over the Account Opening Form (AOF) with instructions.

2. **Customer Information Collection:**
    - Request personal details: Full name, address, contact number, email, PAN, Aadhaar (if provided).
    - Collect employment or business details depending on the account type.
    - Provide Data Privacy Consent Form in compliance with DPDP Act.
3. **KYC Documentation Verification:**
    - Verify identity proof (PAN, Passport, Aadhaar, Voter ID, Driving License).
    - Verify address proof (Utility Bill, Passport, Aadhaar, Rent Agreement, etc.).
    - Capture a live photo for facial recognition and liveness check.
4. **Risk Assessment and Screening:**
    - Perform risk categorization (Low, Medium, High) based on customer profile.
    - Conduct AML/CFT screening through central databases.
    - If flagged, escalate to Compliance Officer for review.
5. **Form Submission and Digital Entry:**
    - Enter customer data into Core Banking System (CBS).
    - Scan and upload all supporting documents.
    - Generate a unique Customer ID (CIF).
6. **Account Approval and Activation:**
    - Supervisor reviews and approves the account request.
    - Issue account number, debit card, and internet banking credentials.
    - Send SMS/email confirmation of account activation.
7. **Customer Orientation:**
    - Explain terms and conditions of account usage.
    - Provide details about minimum balance requirements, fees, and charges.
    - Introduce digital banking channels and mobile app usage.

4.3 Compliance Requirements During Onboarding

- Ensure explicit customer consent is obtained before data collection (DPDP Act).
- Maintain secure storage of customer information.
- Report high-risk customers or suspicious transactions to the Financial Intelligence Unit (FIU).
- Adhere to RBI Master Circulars on KYC and AML.

4.4 Customer Onboarding Workflow (Table Format)

Step	Responsible Department	Output/Deliverable
Customer Interaction	Customer Service/Front Desk	Customer provided with AOF and product details
Information Collection	Customer Service	Completed AOF with personal and employment details
Document Verification	Operations/KYC Desk	Validated KYC documents, liveness photo
Risk Assessment	Compliance Team	Risk category assigned, AML screening report
Data Entry	Operations/CBS Desk	CIF generated, data uploaded
Approval & Activation	Branch Manager/Supervisor	Account activated, SMS/email confirmation sent
Customer Orientation	Customer Service	Customer informed of terms, digital banking access

Table 6: Customer Onboarding Workflow

4.5 Escalation Matrix for Onboarding Issues

- **Level 1:** Customer Service Officer – Handles form filling errors, basic document issues.
- **Level 2:** Operations Head – Resolves system entry problems, duplicate CIF issues.
- **Level 3:** Compliance Officer – Handles risk profile mismatches, AML red flags.
- **Level 4:** Branch Manager – Approves exceptions, final decision-making authority.

4.6 Key Points for Training New Employees

- Always cross-check Aadhaar and PAN using official portals when provided.
- Never accept incomplete forms or unclear documents.
- Educate customers on the importance of consent under the DPDP Act.
- Keep the onboarding process customer-friendly but compliant with regulations.

5 Transaction Processing and Monitoring

5.1 Overview

This section provides detailed Standard Operating Procedures (SOPs) for handling various types of banking transactions in compliance with the Reserve Bank of India (RBI) guidelines and the Digital Personal Data Protection (DPDP) Act. It covers transaction initiation, approval, recording, monitoring, and reporting mechanisms.

5.2 Transaction Types

Transactions can be broadly categorized into:

- **Cash Transactions** – Deposits, withdrawals, and transfers conducted in physical currency.
- **Non-Cash Transactions** – Cheque clearing, NEFT, RTGS, IMPS, UPI.
- **Card Transactions** – Debit and credit card payments, PoS transactions, e-commerce payments.
- **International Transactions** – Foreign exchange, remittances, SWIFT transfers.

5.3 Transaction Initiation Procedures

1. **Customer Request Verification:**
   - Obtain valid request form or digital initiation.
   - Verify customer identity through KYC/Customer ID.
   - Ensure sufficient balance/funds availability.
2. **Data Entry and Validation:**
   - Enter transaction details in the core banking system (CBS).
   - Validate account numbers, IFSC codes, and amounts.
3. **Authorization:**
   - Dual verification for high-value transactions.
   - Approval by branch manager or authorized officer as per delegation matrix.

5.4 Transaction Recording and Ledger Management

All transactions must be recorded in the CBS and reflected in:

- Daily transaction logs.

- Customer account statements.
- Branch-wise transaction registers.

Table 7: Transaction Recording Requirements

Transaction Type	Mandatory Recording Details
Cash Deposit	Account no., depositor details, amount, teller ID, receipt no.
Cash Withdrawal	Account no., customer ID proof, withdrawal slip no., teller ID
NEFT/RTGS	Beneficiary details, IFSC code, UTR no., initiator ID
UPI/IMPS	Virtual Payment Address (VPA), mobile no., transaction reference ID
Cheque Clearing	Cheque no., MICR code, drawee details, clearing batch ID

5.5 Transaction Monitoring and Alerts

Banks are required to implement real-time monitoring systems to flag unusual or suspicious transactions.

- **Automated Alerts:**
  - High-value cash deposits or withdrawals above INR 10,00,000.
  - Multiple small transactions (structuring).
  - International remittances exceeding regulatory thresholds.
- **Manual Monitoring:**
  - Daily reconciliation of CBS with physical vouchers.
  - Review of exception reports by compliance teams.

Table 8: Sample Red-Flag Indicators

Indicator	Possible Risk
Frequent large cash deposits	Money laundering / tax evasion
Multiple failed login attempts in digital banking	Potential cyber fraud
Transactions with sanctioned countries/entities	Regulatory breach
Frequent small-value UPI transfers to same beneficiary	Smurfing activity

5.6 Regulatory Reporting

All suspicious transactions must be reported to the **Financial Intelligence Unit – India (FIU-IND)** under the Prevention of Money Laundering Act (PMLA). RBI mandates the filing of:

- Cash Transaction Reports (CTRs).
- Suspicious Transaction Reports (STRs).
- Non-Profit Organization Transaction Reports (NTRs).

5.7 Employee Roles and Responsibilities

- **Teller/Customer Service Executive:** Responsible for transaction initiation and customer verification.
- **Branch Manager:** Approves high-value transactions and ensures compliance.
- **Compliance Officer:** Monitors alerts, reviews STRs, and coordinates with FIU-IND.
- **IT Department:** Ensures CBS and monitoring systems are functional and secure.

5.8 Escalation Matrix

1. Teller/Staff flags suspicious transaction.
2. Branch Manager reviews and approves escalation.
3. Compliance Officer files STR to FIU-IND.
4. RBI notified in case of regulatory breaches.

5.9 Key Compliance References

- RBI Master Circular on KYC/AML (latest version).
- DPDP Act provisions on secure data handling in transactions.
- PMLA rules on reporting obligations.

6 Dormant and Inactive Accounts

6.1 Definition of Dormant and Inactive Accounts

According to RBI guidelines, an account is categorized as **inactive** if there are no customer-initiated transactions (such as withdrawal, deposit, transfer, cheque clearance) for a period of 12 months. If the period of inactivity extends to 24 months, the account is classified as **dormant**. This classification ensures better monitoring and risk management.

- **Inactive Account:** No operation for 12 months.
- **Dormant Account:** No operation for 24 months.
- System-driven classification to ensure uniformity and compliance.

6.2 Customer Communication Protocol

Before classifying an account as dormant, banks are required to initiate communication with the customer.

1. **First Reminder:** Notification after 10 months of inactivity.
2. **Second Reminder:** Follow-up after 11 months if no response.
3. **Final Notice:** Issued after 23 months for accounts nearing dormant status.

All communications should be recorded in the Core Banking System (CBS) for audit trails.

6.3 Risk and Compliance Considerations

- Dormant accounts are prone to fraudulent transactions.
- Enhanced monitoring is mandated by RBI for all such accounts.
- Transactions in dormant accounts must undergo additional scrutiny and approval.
- No penalty or charges should be levied merely on the classification of dormancy.

6.4 Reactivation of Dormant Accounts

Customers can reactivate their dormant accounts by fulfilling certain requirements:

1. Submit a **written request** to the branch or via secure online banking.
2. Provide **KYC documents** (Identity proof and Address proof) for re-verification.
3. Conduct a **customer-initiated transaction**, such as a deposit, withdrawal, or transfer.

Step	Procedure
1	System auto-identifies accounts reaching inactive status after 12 months.
2	Notify customer via SMS, email, or physical letter. Maintain log in CBS.
3	If account reaches 24 months with no transaction, classify as dormant in CBS.
4	Place restrictions on debit transactions while allowing credits (e.g., interest, inward remittances).
5	For reactivation, verify KYC documents, obtain customer request, and authorize activation.

Table 9: SOP for Dormant and Inactive Accounts

6.5 Standard Operating Procedure (SOP) for Staff

6.6 Regulatory References

- RBI Master Circular on Customer Service in Banks (updated annually).
- RBI Circular DBOD.No.Leg.BC.34/09.07.005/2007-08 on Dormant Accounts.
- Data Privacy compliance under DPDP Act, 2023 for customer communication.

6.7 Best Practices

- Use data analytics to predict accounts likely to become dormant.
- Proactively engage customers through digital banking channels.
- Offer incentives or reminders for periodic transactions.
- Maintain strict audit trails for compliance inspections.

7 Transaction Monitoring and Fraud Detection

Transaction monitoring and fraud detection are essential pillars of banking operations to ensure the safety, compliance, and integrity of financial systems. Banks are required to put in place robust systems for continuous monitoring of transactions, in accordance with RBI guidelines and the DPDP Act.

7.1 Objective

The primary objectives of transaction monitoring and fraud detection SOPs are:

- To identify suspicious or unusual transactions in real-time or near real-time.

- To mitigate risks related to fraud, money laundering, and terrorist financing.
- To comply with RBI Master Directions on KYC, Anti-Money Laundering (AML), and Combating Financing of Terrorism (CFT).
- To protect customer trust and uphold the bank's reputation.

7.2 Monitoring Framework

A structured monitoring framework ensures systematic checks across various types of accounts and transactions. Banks implement rule-based engines as well as AI/ML-powered anomaly detection systems.

7.2.1 Rule-based Checks

- Transactions above INR 10,00,000 (high-value thresholds).
- Sudden or unusual increase in transaction frequency.
- Multiple small-value transactions (smurfing/structuring).
- Transactions inconsistent with the customer's profile.

7.2.2 AI/ML-based Monitoring

- Behavioral profiling of accounts to detect deviations.
- Predictive scoring for possible fraud attempts.
- Detection of synthetic identities and mule accounts.

7.3 Red Flag Indicators

The following table provides a set of red flag indicators to be considered during monitoring:

Indicator	Description
High-value cash deposits	Deposits far exceeding known sources of income
Round-tripping	Funds withdrawn and redeposited repeatedly
Third-party involvement	Transactions initiated or received from unrelated parties
Dormant account activity	Sudden high activity in long-dormant accounts
Cross-border unusual flow	Large or frequent international transfers without business justification

Table 10: Red Flag Indicators in Transaction Monitoring

7.4 Escalation Procedure

If a transaction is flagged:

1. **System alert generated**: Monitoring systems generate alerts for review.
2. **Initial investigation**: The compliance or fraud monitoring team evaluates the alert using customer KYC data and transaction history.
3. **Customer contact (if required)**: In case of genuine doubt, the customer is contacted for clarification.
4. **Suspicious Transaction Report (STR)**: If suspicion persists, the case is reported to the Financial Intelligence Unit - India (FIU-IND).
5. **Account action**: Temporary suspension or additional monitoring measures applied to mitigate risk.

7.5 Fraud Detection Mechanisms

Fraud detection integrates both preventive and detective controls.

7.5.1 Preventive Controls

- Multi-factor authentication for online banking.
- Transaction limits for online and mobile payments.
- Geolocation-based restrictions for card transactions.

7.5.2 Detective Controls

- Real-time monitoring of unusual IP addresses or devices.
- Alerts for duplicate transactions.
- Analysis of login patterns to detect account takeover attempts.

7.6 Sample Process Flow Table

Step	Action	Responsible Team
Transaction occurs	Transaction initiated via branch, ATM, or digital channel	Operations Team
Monitoring check	Transaction scanned through rules/AI system	Monitoring System
Alert generation	Alert raised for flagged transaction	Monitoring System
Investigation	Manual review conducted	Compliance/Fraud Team
Escalation	STR reported if required	Compliance Team
Action taken	Freeze, restrict, or continue monitoring	Operations/Compliance

Table 11: Process Flow for Fraud Detection

7.7 Compliance with RBI and DPDP Act

- All flagged and investigated cases must be logged and auditable for RBI inspections.
- Customer data must be handled securely under DPDP guidelines, with anonymization where applicable.
- Alerts and reports must be retained for at least 5 years.

8 Complaint Handling and Grievance Redressal

Effective complaint handling is a critical part of customer service and compliance. This section outlines the processes, escalation mechanisms, and reporting requirements for managing customer complaints in line with RBI's Integrated Ombudsman Scheme and the DPDP Act.

8.1 Complaint Registration

Customers may raise complaints through multiple channels:

- **Branch Office:** Complaint forms available at branch counters.
- **Customer Care Helpline:** Toll-free number operated 24x7.
- **Email / Online Form:** Dedicated email ID and online portal.
- **Mobile App:** Complaint logging with tracking facility.

8.2 Complaint Logging Procedure

Every complaint must be logged in the **Complaint Management System (CMS)**. The following details should be captured:

- Date and Time of Complaint
- Customer Identification (CIF/Account Number)
- Nature of Complaint (service, charges, fraud, technical, etc.)
- Channel Used for Lodging
- Assigned Tracking ID

Table 12: Complaint Categories and Resolution Timelines (RBI Guidelines)

Category	**Examples**	**Resolution Timeline**
Service Issues	Delayed account opening, non-receipt of cheque book	7 working days
Charges/Fees Disputes	Unauthorized debit, excess fees applied	10 working days
Fraud/Security Issues	Unauthorized transactions, phishing reports	Immediate acknowledgement + 30 days max
Technical Issues	Mobile/Internet banking failure, ATM downtime	5 working days

8.3 Resolution Workflow

The grievance redressal workflow should follow these steps:

1. **Acknowledgement:** Provide written or electronic acknowledgment within 24 hours.
2. **Investigation:** Relevant department investigates based on category.
3. **Resolution:** Provide a clear solution or corrective action within stipulated time.
4. **Escalation:** If unresolved, escalate to Nodal Officer/Grievance Officer.
5. **Closure:** Update complaint status in CMS and notify the customer.

8.4 Escalation Matrix

8.5 Customer Rights

Customers have the following rights under RBI and DPDP guidelines:

Table 13: Escalation Matrix for Complaints

Level	**Escalation Point**	**Timeline for Response**
Level 1	Branch Manager / Customer Care Officer	7 days
Level 2	Grievance Redressal Officer / Zonal Head	15 days
Level 3	Principal Nodal Officer	30 days
Level 4	RBI Banking Ombudsman	As per RBI Ombudsman scheme

- Right to lodge complaints free of cost.
- Right to receive a unique complaint tracking number.
- Right to fair and transparent resolution.
- Right to escalate grievances to RBI Ombudsman if unresolved.
- Right to data protection and confidentiality during complaint processing.

8.6 Reporting and Monitoring

- Monthly reports of complaints received, resolved, and pending must be submitted to compliance teams.
- Trend analysis should be performed to identify recurring issues.
- Complaint data must be anonymized before reporting to regulators.
- Serious complaints (fraud, data breach) must be reported to RBI within 48 hours.

8.7 Best Practices

1. Use automated complaint tracking with SMS/email updates.
2. Train frontline staff on complaint handling etiquette.
3. Maintain dashboards for real-time grievance monitoring.
4. Conduct root cause analysis for repeat complaints.
5. Publish complaint handling policy on the bank's website.

9 Reporting and Escalation Protocols

9.1 Purpose

The objective of this section is to define clear reporting lines and escalation procedures within the Accounts Department. Proper escalation ensures that potential risks, irregularities, or operational delays are addressed promptly by the appropriate authority, reducing financial, compliance, and reputational risks.

9.2 Scope

This protocol applies to:

- All staff within the Accounts Department.
- Cross-functional teams (e.g., Internal Audit, Compliance, Treasury).
- External stakeholders in cases of statutory or regulatory escalations.

9.3 Reporting Structure

The Accounts Department follows a tiered reporting structure for day-to-day operations and escalation needs:

Level	**Role/Responsibility**	**Reports To**
Junior Accounts Officer	Data entry, voucher preparation, reconciliations	Senior Accounts Officer
Senior Accounts Officer	Review of entries, managing reconciliations, preliminary analysis	Accounts Manager
Accounts Manager	Oversight of daily operations, ensuring compliance with SOPs	Head of Finance
Head of Finance	Strategic oversight, reporting to board, regulatory compliance	CFO / Board Audit Committee

Table 14: Accounts Department Reporting Hierarchy

9.4 Escalation Triggers

Escalations are initiated under the following circumstances:

1. **Financial Discrepancies:** Variances in ledgers, balances, or reconciliations exceeding predefined thresholds.
2. **Policy Breaches:** Non-adherence to accounting standards, company policies, or regulatory requirements.

3. **Operational Delays:** Inability to close accounts, generate reports, or process transactions within defined timelines.

4. **Fraud Indicators:** Suspicious entries, unusual payment requests, or non-standard adjustments.

5. **System Failures:** ERP or accounting software downtime impacting daily operations.

9.5 Escalation Levels

Escalation must follow a structured flow to avoid miscommunication and bypassing of authority:

Escalation Level	**Issue Type**	**Escalated To**
Level 1	Minor ledger discrepancies, entry corrections	Senior Accounts Officer
Level 2	Variances exceeding 1% of ledger, missed reporting deadlines	Accounts Manager
Level 3	Policy breaches, unresolved reconciliations, repeated system errors	Head of Finance
Level 4	Fraud suspicion, compliance breaches, statutory reporting issues	CFO / Audit Committee

Table 15: Escalation Matrix for Accounts Department

9.6 Communication Protocol

1. All escalations must be documented using the **Escalation Form**, including:
   - Date and time of issue detection.
   - Nature of issue.
   - Initial corrective measures taken.
   - Person responsible for reporting.

2. Urgent escalations (fraud, compliance breach) must be communicated within 24 hours via email and followed by a formal report.

3. All escalation communications must be logged in the **Escalation Register** maintained by the Accounts Manager.

9.7 Monitoring and Review

- Escalation cases must be reviewed monthly by the Accounts Manager.

- A quarterly **Escalation Trend Report** should be submitted to the Head of Finance.
- Repeated issues must trigger a process review or policy amendment.

9.8 Key Controls

- Defined turnaround time (TAT) for each escalation level.
- Regular training sessions for staff on recognizing escalation triggers.
- Access controls to ensure escalations are routed through designated authorities only.

10 Regulatory Compliance and Reporting

10.1 Overview

In the banking sector, adherence to regulatory standards is mandatory to ensure transparency, protect customers, and maintain systemic stability. Regulatory compliance involves implementing policies and controls that align with laws and guidelines issued by governing authorities such as the Reserve Bank of India (RBI), Basel Committee on Banking Supervision (BCBS), Financial Action Task Force (FATF), and other jurisdiction-specific regulators. Reporting requirements are equally critical to demonstrate compliance and provide accurate financial, operational, and risk-related disclosures.

10.2 Key Compliance Requirements

- **KYC (Know Your Customer):** Verification of customer identity through officially valid documents to prevent fraud and money laundering.
- **AML (Anti-Money Laundering):** Implementation of systems to monitor suspicious transactions and report to the Financial Intelligence Unit (FIU).
- **CRR and SLR Maintenance:** Adhering to statutory requirements of maintaining cash reserve ratio (CRR) and statutory liquidity ratio (SLR).
- **Basel Norms:** Ensuring adequate capital adequacy ratios and risk-weighted asset management.
- **Customer Grievance Redressal:** Maintaining transparency in handling complaints and providing audit trails.

10.3 Reporting Framework

Regulators mandate banks to furnish reports periodically. These reports cover capital adequacy, liquidity positions, exposure limits, fraud reports, and risk assessments.

Report Type	Description	Frequency
CRR/SLR Returns	Daily maintenance of reserves	Fortnightly
Fraud Reporting	Record of fraudulent activities detected	Immediate / As per occurrence
Capital Adequacy (Basel Norms)	Report on CAR, Tier I and Tier II capital	Quarterly
Liquidity Coverage Ratio (LCR)	Disclosure on high-quality liquid assets and outflow requirements	Monthly
AML Suspicious Activity Reports (SAR)	Filing reports on suspicious transactions to FIU	Ongoing / Real-time

Table 16: Regulatory Reporting Framework

10.4 Internal Controls for Compliance

To ensure compliance with regulatory standards, banks must establish strong internal control mechanisms:

- **Audit Trails:** Every transaction must have a verifiable trail for accountability.
- **Segregation of Duties:** No single employee should control all stages of a financial transaction.
- **Periodic Compliance Reviews:** Scheduled assessments to evaluate adherence to policies.
- **Whistleblower Mechanisms:** Channels for employees to report violations confidentially.
- **Automated Alerts:** System-generated alerts for breaches in thresholds (e.g., large cash deposits).

10.5 Consequences of Non-Compliance

Failure to comply with regulatory obligations can lead to:

1. Monetary penalties imposed by regulatory bodies.
2. Reputational damage and erosion of customer trust.
3. Increased scrutiny from regulators, leading to operational constraints.
4. Potential criminal liabilities in cases of fraud, money laundering, or willful default.

10.6 Best Practices

- Centralized compliance management systems integrated with banking core systems.
- Continuous employee training on evolving regulations.
- Real-time monitoring dashboards for key compliance indicators.
- Cross-departmental collaboration for holistic compliance.
- Proactive engagement with regulators to ensure readiness for new requirements.